

Alternative Loans & Funding Pathways

Banks aren't the only way to fund a business — and often not the best for new or underserved owners. Below are flexible, mission-driven funding paths. Tick the box once you've checked each one.

⚠ BEFORE YOU START

These lenders are often more flexible than banks and may approve you with limited credit history. Watch out for predatory online lenders with sky-high rates — the mission-driven options below are safer.

1 Mission-Driven Lenders

Nonprofit and community lenders built to fund underserved entrepreneurs.

- ☐ **CDFIs — Community Development Financial Institutions**
Flexible loans for people banks turn down, often with coaching included.
→ www.cdfifund.gov/programs-training/certification/cdfi
- ☐ **SBA Microloans (up to \$50,000)**
Small loans via nonprofit intermediaries, ideal for startups.
→ www.sba.gov/funding-programs/loans/microloans
- ☐ **Kiva — 0% Interest Microloans**
Crowdfunded loans up to \$15,000 at 0% interest, no credit score required.
→ www.kiva.org/borrow

2 SBA-Backed Loans

Government-backed loans with better terms than most bank loans.

- ☐ **SBA Lender Match**
Get matched with SBA-approved lenders for 7(a) and other loans.
→ www.sba.gov/funding-programs/loans/lender-match
- ☐ **SBA 504 Loans**
Long-term, fixed-rate loans for major assets like buildings and equipment.
→ www.sba.gov/funding-programs/loans/504-loans

3 Investor & Community Funding

Ways to raise money from people instead of lenders.

- ☐ **Crowdfunding**
Raise money from customers and supporters. See the Crowdfunding guide for platforms and tips.
→ **See: Crowdfunding guide**
- ☐ **Angel Investors & Accelerators**
Trade a share of your business for investment and mentorship. See the Accelerators & Angels guide.
→ **See: Accelerators, Incubators & Angels guide**

4 Get Free Help Choosing

An advisor can help you pick the right, safest option.

☐ SCORE / SBDC Funding Advice

Free advisors help you compare loans and avoid predatory lenders.

→ www.score.org

⚠ WATCH OUT FOR

Avoid online lenders advertising “fast cash” with daily payments and triple-digit interest — these merchant cash advances can trap a business in debt. CDFIs and SBA microloans are far safer.

★ A TIP THAT HELPS

If a bank says no, a CDFI may say yes — and many include free coaching. Kiva’s 0% loans are also worth a look if you can rally friends to make the first few loans.

NEED HELP WHERE YOU LIVE?

Need help where you live?

This guide covers national options. For community lenders and loan programs in your area, use the personalized AI search or ask in the Questions area, and we’ll help you find them.

MY NOTES — WHO I CALLED, WHEN, AND WHAT THEY SAID
